

Hike Odds Halved in a Week

Before tonight's payrolls, a note on how quickly the market changed its mind, and how little that should move yours.

THE READING

The S&P 500 closed Thursday at 7,673.89, up 0.29%, near the middle of its 7,552–7,796 risk range. The 10-year Treasury yield fell about six basis points to 5.24%, a day after trading near 5.30%. The VIX sat at 16.35.

Beneath that calm, the expected path moved hard. Wednesday's August PCE showed core inflation at 3.0% against 3.3% expected, and futures-implied odds of an October hike fell to 34.9%, from 70.9% on 23 September. Thursday cut the other way: ISM manufacturing at 54.5, prices paid at 77.9, jobless claims at 197,000, WTI up 2.81% to \$92.96.

The mood is not fear. It is suggestibility: a market that halved its conviction in a week and now waits on payrolls to be told what it thinks.

WHAT WISDOM WOULD SAY

In 1576 Montaigne had a medal struck bearing a pair of balanced scales and the words *Que sais-je?* — what do I know? It was not a confession of ignorance but a working method, taken from the ancient sceptics: keep the scales level until the evidence actually tips them, and notice how often you have already moved.

In his essay on the inconstancy of our actions he goes further. We are made of patches, he says, each piece playing its own game, and the hard thing is to be one steady judge rather than a series of moods.

A probability that goes from 71% to 35% in seven sessions is that patchwork in public. Nothing in the economy changed by half in a week. One inflation print came in soft, one survey came in hot, and the scale swung each time. The point applies to the reader as much as to the futures market. If your view of the Fed moved with the odds, it was not a view; it was a reading of the last number. The sceptic's discipline is to ask which of this week's prints you would have predicted, and how much each should really weigh.

THE RISK IT JUSTIFIES

In practice this argues for doing little before 20:30 GMT+8 tonight and deciding the reaction now. Index exposure stays where it is: 7,673 is mid-range, and adding there buys the middle of an argument. Duration stays light while the 10-year sits inside 5.03–5.29%; a soft PCE is not yet a lower high.

Do not trade the payroll headline in the first hour. Wait for the close, when the 2-year and 10-year have voted. Write two lines down before the print. A 10-year close above 5.29%, roughly the 2007 peak, argues for trimming rate-sensitive and high-yield exposure. A 10-year back under 5.03% with the S&P through 7,796 would be the first evidence that the soft PCE was a turn rather than a patch, and would justify adding back in steps. Either way, one number earns one step, not the whole position.

Which of your views this week came from the evidence, and which from the last print?